

DEMO EDUCATION BURSARY FUND

Comprehensive Bribery and Corruption Risk Assessment Report

FY 2026/2027 - prepared using the EACC Practical Guide for Corruption Risk Assessment and Management (Appendix III(a) format)

Institution	Demo Education Bursary Fund (DEBF), Institution ID DEMO-007
Document reference	DEBF/ABC/CRA/2026-27/v1.0
Version / status	Version 1.0 - ACTIVE (no predecessor)
Assessment period	Fieldwork 17 - 28 August 2026; covers operations for FY 2026/2027
Approval	Recommended by the CPC at its Q1 meeting of 22 September 2026 (Min. CPC/04/Q1/2026-27); approved by the Accounting Officer on 24 September 2026
Effective from / to	24 September 2026 to 30 June 2027 (or until superseded)
Prepared by	IAO Committee, coordinated by Mr. Kevin Otieno

Evidence category: **Risk-assessment evidence** (Sub-indicator 2). Submitted to the oversight portal on 28 September 2026, before the 30 September 2026 foundation deadline.

1.0 Context of the assessment

This assessment was conducted after the Fund's Procedures for the Prevention of Bribery and Corruption were approved (Board Resolution DEBF/BD/RES/2026/044) and as a precondition for the FY 2026/2027 corruption prevention performance contract indicator. In FY 2025/2026 the Fund received 41,300 applications for 11,600 bursaries; five public complaints alleged that awards were made to applicants who did not meet the criteria, and applicants could not see why they were unsuccessful.

2.0 Scope: core and support functions

Category	Functional areas assessed
Core mandate	Call for applications and intake; needs assessment and ranking; award decisions; disbursement to learning institutions; appeals and complaints.
Support services	Procurement; human resource (recruitment); finance (payments); ICT (applicant MIS administration); stores and assets.

3.0 Methodology

The IAO Committee reviewed process maps, interviewed 27 staff across the ten functional areas, examined complaints and audit reports for FY 2025/2026 and held two validation workshops with heads of department. Each risk is scored on the declared 1-5 scales below; severity score = Probability x Impact (1-25).

Score	Probability (Pr)	Impact (Im)
1	Rare - not expected in the year	Negligible - no service or reputational effect
2	Unlikely - could occur once in the year	Minor - isolated, quickly corrected
3	Possible - may occur a few times	Moderate - fairness of awards affected
4	Likely - occurs regularly	Major - systemic unfairness, financial loss or media attention
5	Almost certain - occurs frequently	Severe - widespread loss of public trust or legal liability

Severity bands: High 15-25; Medium 6-12; Low 1-5.

4.0 Risk register (Appendix III(a): Corruption Risk Assessment)

Name of Institution: Demo Education Bursary Fund FY: 2026/2027 Corruption Risk Assessment

S. No	Functional area	Identified corruption risk (what could go wrong)	Risk source (why would the risk event occur)	Pr (1-5)	Im (1-5)	Score (Pr x Im)	Band	Existing controls
R-01	Bursary award decisions (Core)	Favouritism in bursary awards: awards to ineligible or favoured applicants in exchange for a bribe, favour or kinship.	Award criteria not published before rounds; award lists not published; regional desks informally pre-select applicants.	4	5	20	High	Awards Committee approves lists (criteria and results not published).
R-02	Procurement approvals (Support)	Weak oversight of procurement approvals: contracts approved on irregular evaluations or with undisclosed conflicts of interest.	Approving officers sign without sight of the evaluation report; declarations not always filed; no independent review of approvals.	4	4	16	High	PPADA procedures; e-procurement; tender committee declarations.
R-03	Needs assessment and ranking (Core)	Manipulation of needs-assessment scores or ranking order by evaluators.	Manual scoring sheets; no second review.	3	4	12	Medium	Supervisor signs scoring sheets.
R-04	Application intake at regional desks (Core)	Demand of 'processing' payments to accept or forward applications.	Paper intake at desks; applicants unaware that the service is free.	3	4	12	Medium	Service charter at desks; online application option.
R-05	Disbursement to learning institutions (Core)	Payments for fictitious learners or to institutions that did not enrol the learner.	Enrolment confirmation by phone in some regions.	2	5	10	Medium	Payment only to verified institution bank accounts through IFMIS.
R-06	Appeals and complaints (Core)	Suppression of appeals by unsuccessful applicants.	No published appeals window; appeals received informally.	2	4	8	Medium	Appeals register at headquarters.
R-07	Human resource - recruitment (Support)	Nepotism or undue influence in shortlisting and interviews.	Panel composition at management discretion.	2	4	8	Medium	HR policy; panel declaration forms.
R-08	Finance - payments (Support)	Irregular or duplicate payments to suppliers.	Manual voucher preparation for small claims.	2	5	10	Medium	IFMIS workflow; segregation of duties; internal audit.
R-09	ICT - applicant MIS administration (Support)	Privileged users altering applicant records or scores.	Shared administrator account; no log review.	3	4	12	Medium	Password policy; vendor support contract.
R-10	Stores and assets (Support)	Diversion of stationery and branded materials.	Periodic stock counts only.	2	3	6	Medium	Stores ledger; annual board of survey.

5.0 Summary of results

Band	Risks	Count
High (15-25)	R-01 (20), R-02 (16)	2
Medium (6-12)	R-03 (12), R-04 (12), R-09 (12), R-05 (10), R-08 (10), R-06 (8), R-07 (8), R-10 (6)	8
Low (1-5)	-	0

6.0 Assessment of existing controls

For R-01, awards rest on internal approval of award lists. Because neither the criteria nor the results are published, applicants and the public cannot test whether an award followed the criteria, and favoured awards are unlikely to be detected. For R-02, approvals are system-recorded but nobody independently checks that each approval was supported by a regular evaluation and filed declarations. Other support controls (IFMIS, segregation of duties) are rated adequate.

7.0 Recommendations to the Mitigation Plan

- Publish the award criteria before every award round and the results list after every award decision, and from Q2 test the control each quarter through an exception review (treats R-01, R-03 and R-06).
- Train the staff in the most affected function on the Procedures in Q1 (treats R-01, R-03 to R-05 and R-09).
- From Q2, spot-check a sample of at least ten procurement approvals each quarter and table the findings at the CPC (treats R-02).
- Continue existing controls for R-07, R-08 and R-10 and monitor them at each quarterly CPC meeting.
- Hold quarterly IAO Committee and CPC meetings (committee obligations) to track implementation and approve reports to the Commission.

8.0 Approval

Name	Designation / role	Signature	Date
Mr. Kevin Otieno	Chair, IAO Committee (prepared)		17 Sep 2026
Mr. Hassan Abdi	Accounting Officer (approved, on CPC recommendation Min. CPC/04/Q1/2026-27)		24 Sep 2026